

ing. In April, at press time, appeared a companion piece, "Debunking Low Dividends."

Denial is alive and well on Wall Street. Go back and read those articles in eight years. *The Elliott Wave Theorist* addressed the impulse to explain away indicators a decade ago, when no one wanted to believe their *bullish* message:

We have often heard lately that these sentiment indicators "used to work, but now they can't be trusted." This is a symptom of bearishness, pure and simple, just as its opposite at the top is a symptom of bullishness. It is a common occurrence at turns.

Today we are witnessing the same impulse, but with an opposite purpose: to explain away a bearish message. Such exercises are absolutely necessary for the avoidance of cognitive dissonance between reason on the one hand and a decision already made based upon socially shared emotional forces on the other. Thirteen years ago the bears were rationalizing, and now the bulls must do so to avoid having to admit that the stocks they own or recommend are historically overpriced. The arguments that they present are themselves a reflection of the overall lack of worry and contraindicate the very fact that their proponents are trying to claim. A shocking number of analysts go as far as to say, "stocks are *undervalued*," a statement justified with reference to the price/earnings ratio. Besides the essential irrelevance of P/E, the high earnings making the headlines are mostly accruing to the companies with multinational dealings as a result of the weak dollar. When the dollar turns up (see Chapter 14), these high earnings will disappear.

The preceding presentation suffices as an analysis of today's market psychology, which dramatically reflects the making of a Grand Supercycle top. However, it is a clinical analysis, and market psychology derives from *feelings*. The next chapter is devoted to communicating an understanding of not only what forces are behind these indicators, but how investors have progressed to the emotional state that produced today's readings.